GME

This note frames the current earnings base for GME with emphasis on profitability, capital structure, and cash-flow durability.

Revenue	Net Income
$3.82B	$0.13B
-27.5%	1859.7%

Operating Margin	Free Cash Flow
-0.7%	$0.13B
4.7%	-154.3%

At a glance

- Revenue is $3.82B with -27.5% change versus the prior period.
- Net income is $0.13B, indicating current earnings scale.
- Balance sheet reads at 0.01x debt-to-equity and 8.05x current ratio.

Executive Summary

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

GameStop reported revenue of $3.8 billion, a 27.5% decline from the previous year, while net income increased dramatically by 1859.7% to $131.3 million. The company's current ratio stands at 8.05x, indicating strong liquidity, and its gross margin improved to 29.1%. Total assets rose by 116.9% to $5.9 billion, but operating income remained negative at $26.2 million, reflecting ongoing operational challenges.

Current balance-sheet and cash profile: leverage at 0.01x, current ratio 8.05x, free cash flow $0.13B.

Profitability

- Operating margin is -0.7% (4.7% vs prior); this defines current earnings conversion on sales.
- Net margin is 3.4% (2602.9% vs prior); this captures current bottom-line efficiency.

Balance Sheet & Liquidity

- Debt-to-equity is 0.01x (-81.2% vs prior); this frames leverage sensitivity and refinancing exposure.
- Current ratio is 8.05x (280.9% vs prior); this measures near-term liquidity headroom.

Cash Flow & Risk

- Free cash flow is $0.13B (-154.3% vs prior); this tests earnings quality and funding flexibility.
- Operating cash flow is $0.15B (-171.5% vs prior); this shows internal cash generation capacity.

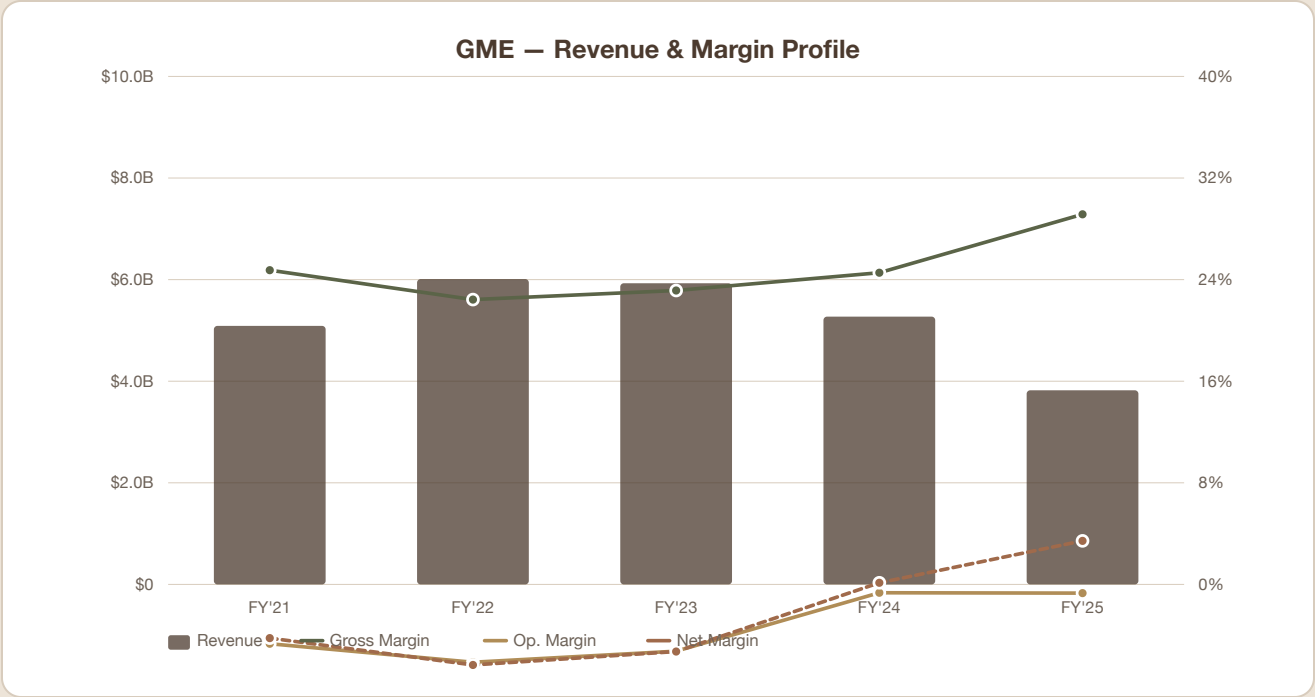
Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$3.82B	$5.27B	-27.5%
Net Income	$0.13B	$6.7M	1859.7%
Operating Margin	-0.7%	-0.7%	4.7%
Debt-to-Equity	0.01x	0.03x	-81.2%
Current Ratio	8.05x	2.11x	280.9%
Free Cash Flow	$0.13B	-$0.24B	-154.3%

Revenue	Net Income	Operating Margin	Free Cash Flow
$3.82B	$0.13B	-0.7%	$0.13B

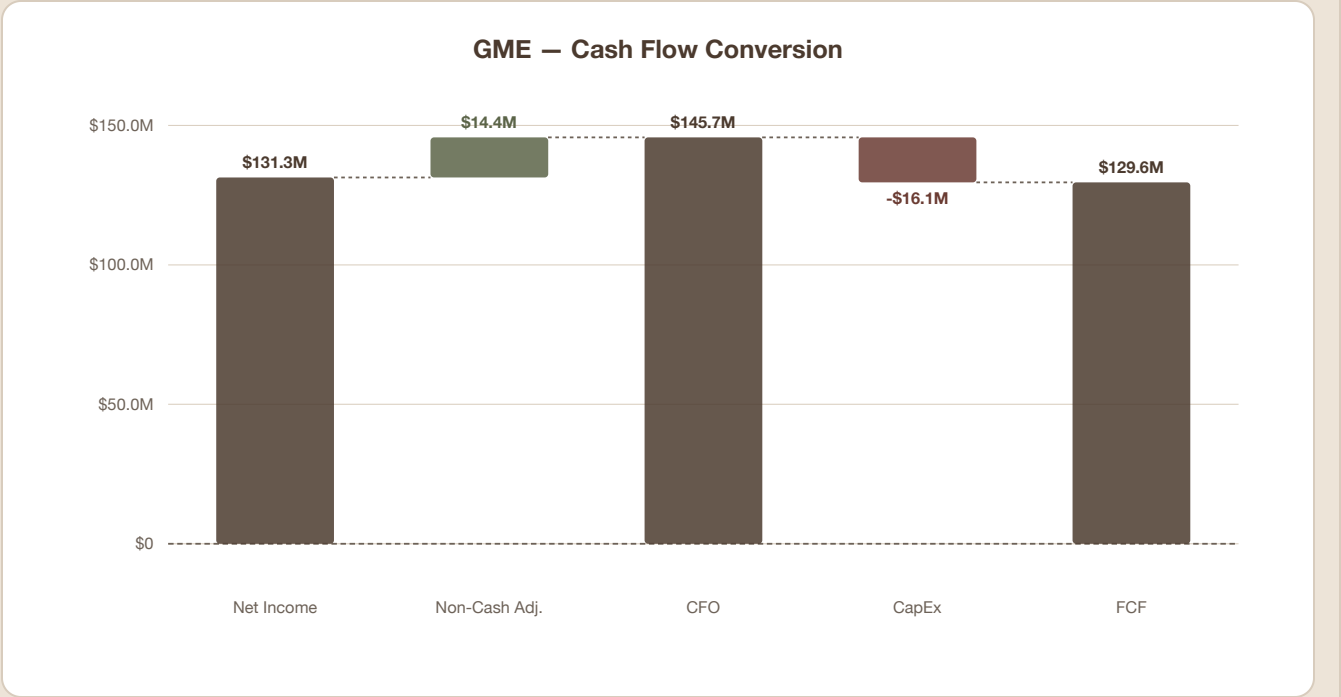
Visual Highlights I

GME — Current period: 2025-02-01 | Prior period: 2024-02-03



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

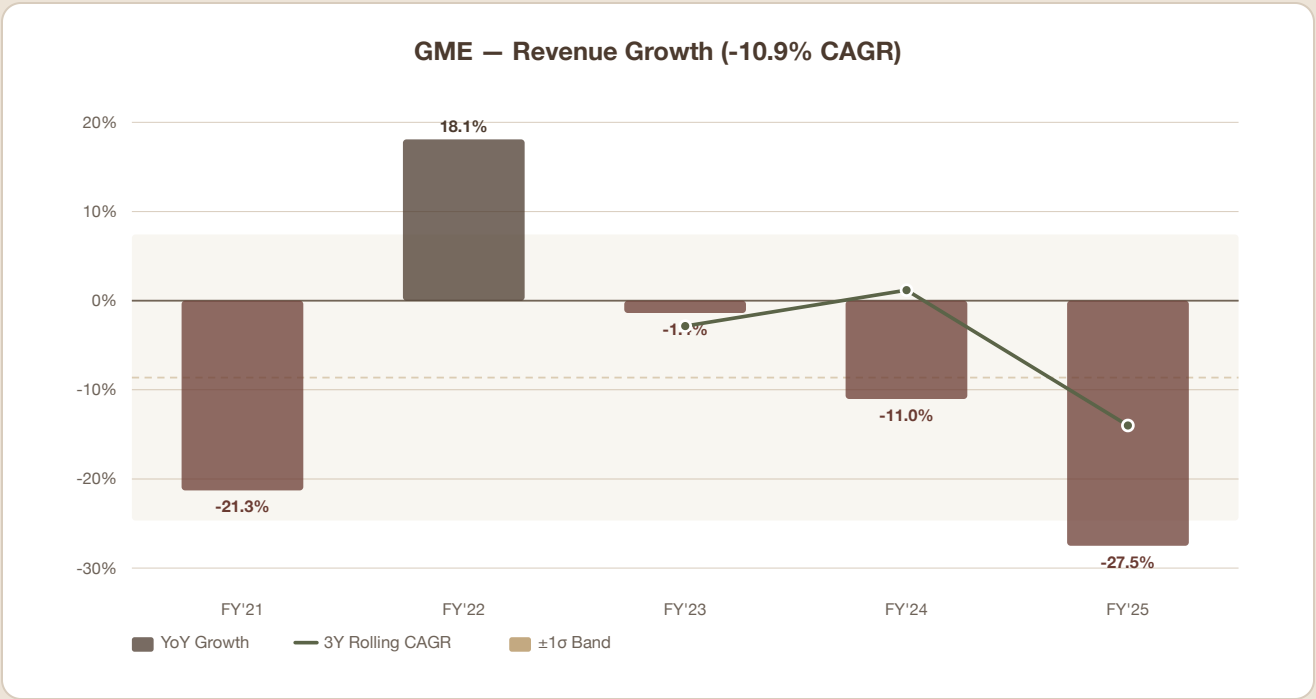


Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II

GME — Current period: 2025-02-01 | Prior period: 2024-02-03



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is 2.7%, indicating current capital productivity.
- Debt-to-equity stands at 0.01x, a direct read on leverage sensitivity.
- Current ratio is 8.05x, framing near-term liquidity coverage.
- Operating cash flow is $145.7M.

Key Metrics Dashboard

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Profitability

Metric	Current Value	Prior Period	Change (%)
Operating Margin	-0.7%	-0.7%	4.7%
Net Margin	3.4%	0.1%	2602.9%
Gross Margin	29.1%	24.5%	18.7%
Return on Equity	2.7%	0.5%	432.1%
Return on Assets	2.2%	0.2%	803.6%

Liquidity & Leverage

Metric	Current Value	Prior Period	Change (%)
Total Debt	$27M	$39M	-30.8%
Current Ratio	8.05x	2.11x	280.9%
Quick Ratio	7.33x	1.44x	410.3%
Debt-to-Equity	0.01x	0.03x	-81.2%

Derived Metrics Strip

FCF MARGIN
3.4%
FCF / Revenue

CFO MARGIN
3.9%
CFO / Revenue

ROIC PROXY
-0.5%
OpInc / (Equity + Debt)

NET DEBT
-$4.73B
Debt - Cash

Key Metrics Dashboard (Cont.)

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$3.82B	$5.27B	-27.5%
Net Income	$0.13B	$6.7M	1859.7%
Operating Income	-$26M	-$35M	-24.1%
Total Assets	$5.88B	$2.71B	116.9%
Stockholders' Equity	$4.93B	$1.34B	268.3%
Total Liabilities	$0.95B	$1.37B	-31.0%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$0.15B	-$0.20B	-171.5%
Free Cash Flow	$0.13B	-$0.24B	-154.3%
Capital Expenditures	-$16M	-$35M	-53.9%
Earnings Per Share (Diluted)	$0.33	$0.02	1550.0%
Book Value Per Share	$12.49	$4.39	184.8%

Method Notes

- Period lock is deterministic: headline, dashboard, and appendix are aligned to the same annual basis.
- Derived metrics are formula-based and only shown when required source inputs are present.
- N/A appears only when a required input is genuinely unavailable in the filing-derived dataset.

Commentary

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

What stands out

- Revenue is $3.82B, with -27.5% growth versus the prior annual filing.
- Net income is $0.13B, with 1859.7% change year over year.
- Operating margin is -0.7% and net margin is 3.4%, indicating current earnings conversion and bottom-line retention.

Watch items

- Monitor leverage and liquidity together: debt-to-equity is 0.01x and current ratio is 8.05x.
- Validate next-period durability before extrapolating the latest one-year growth and margin profile.

Analyst interpretation

- GME currently combines scale and profitability, but the key decision point is whether margin and cash conversion stay consistent across the next filings.
- Balance-sheet posture is best read jointly: debt-to-equity at 0.01x and current ratio at 8.05x.
- Cash generation remains a central validation point, with free cash flow at $0.13B in the latest annual period.

Next Filing Checklist

- Confirm whether GME can sustain revenue at $3.82B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $0.13B.
- Reassess leverage and liquidity together (0.01x debt-to-equity, 8.05x current ratio).

Appendix

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Appendix A — GME Income Statement

Metric	FY2025 (Feb)	FY2024 (Feb)	FY2023 (Jan)
Revenue	$3.82B	$5.27B	$5.93B
Cost of Revenue	$2.71B	$3.98B	$4.56B
Gross Profit	$1.11B	$1.29B	$1.37B
Operating Income	-$26M	-$35M	-$0.31B
Net Income	$0.13B	$6.7M	-$0.31B
EPS (Basic)	$0.33	$0.02	$-1.03
EPS (Diluted)	$0.33	$0.02	$-1.03
SG&A Expenses	$1.13B	$1.32B	$1.68B

Appendix B — GME Balance Sheet

Metric	FY2025 (Feb)	FY2024 (Feb)	FY2023 (Jan)
Shares Outstanding	394.7M	305.2M	304.2M
Total Assets	$5.88B	$2.71B	$3.11B
Total Liabilities	$0.95B	$1.37B	$1.79B
Stockholders' Equity	$4.93B	$1.34B	$1.32B
Current Assets	$5.36B	$1.97B	$2.32B
Current Liabilities	$0.67B	$0.93B	$1.34B
Cash & Equivalents	$4.76B	$0.92B	$1.14B
Total Debt	$27M	$39M	$50M
Long-Term Debt	$17M	$29M	$40M
Short-Term Debt	$10M	$11M	$11M
Inventory	$0.48B	$0.63B	$0.68B
Accounts Receivable	$61M	$91M	$0.15B

Appendix C — GME Cash Flow Statement

Metric	FY2025 (Feb)	FY2024 (Feb)	FY2023 (Jan)
Operating Cash Flow	$0.15B	-$0.20B	$0.11B
Capital Expenditures	-$16M	-$35M	-$56M
Investing Cash Flow	$0.27B	-$33M	-$0.22B
Financing Cash Flow	$3.44B	-$12M	-$7.9M
Dividends Paid	N/A	N/A	$0.0M

Data Sources & Notes

Ticker	Form	Filed	Primary Document
GME	8-K	2026-01-08	https://www.sec.gov/Archives/edgar/data/1326380/000132638026000007/gme-20260108.htm
GME	8-K	2026-01-07	https://www.sec.gov/Archives/edgar/data/1326380/000132638026000004/gme-20260106.htm
GME	10-Q	2025-12-09	https://www.sec.gov/Archives/edgar/data/1326380/000132638025000098/gme-20251101.htm
GME	8-K	2025-12-09	https://www.sec.gov/Archives/edgar/data/1326380/000132638025000097/gme-20251209.htm
GME	8-K	2025-10-07	https://www.sec.gov/Archives/edgar/data/1326380/000132638025000091/gme-20251007.htm
GME	10-Q	2025-09-09	https://www.sec.gov/Archives/edgar/data/1326380/000132638025000075/gme-20250802.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer's latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-05. Retrieval date: 2026-03-05.

Disclaimer: For research use only; not investment advice.